Canon
CANON MEXICANA, S. DE R.L. DE C.V.

TITLE: **Internal Audit Methodology**					
REF: AUDINT-001	DATE			VERSION	PAGE 1 OF 6
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1. **Objective:** Establish a framework in which the Internal Audit Activity will be performed for Canon Mexicana and ensure communication among key stakeholders.

2. **Scope:** Applies to the Internal Audit employees and all Canon Mexicana employees with open items regarding an audit process.

3. **Glossary:**

Acceptance: Risk treatment when no action is taken. Therefore, the risk is considered accepted.

Action Plan: It is the plan detailed by activities assigned to an employee responsible for its activation within a target date.

Activation: Refers to the condition of executing a plan in a fairly simple manner.

Audit: An official assessment of a process, area, or organization performed by an independent and objective party.

Audit Report: Document composed by a general overview of the products and services in scope of an audit, as well as the audit observations.

Control: Process for assuring the achievement of the organization's objectives in operational effectiveness and efficiency, reliable financial reporting, compliance with regulations, laws and policies.

Impact: Financial determination of a risk occurrence; considered high, medium, or low.

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Date: 29/07/19	Date: 29/07/19	Date: 29/07/19

Internal control: Is the framework designed by management and enacted by every member of an organization to ensure the achievement of an organization's objectives.

Inherited Risk: Is the risk that arises due to the nature of the business transaction or operation.

Material: It means the element under review has a significant impact in the financial figures of the organization.

Measured: It has acceptance conditions defined that can be track over time.

Mitigation: Risk treatment which requires to deal with the risk through an action plan and monitored on periodic basis the residual risk (inherited risk – controls in place).

Probability: Likelihood of the risk happening; considered high, medium or low.

Process Owner: The auditee who has received an observation on a process managed by her or him.

Rejection: Is the risk treatment which declines to pursue the element under assessment.

Relevant: Meaning that it will have a direct impact over the organization's objectives.

Residual Risk: Is the risk after applying mitigating controls to the inherent risk.

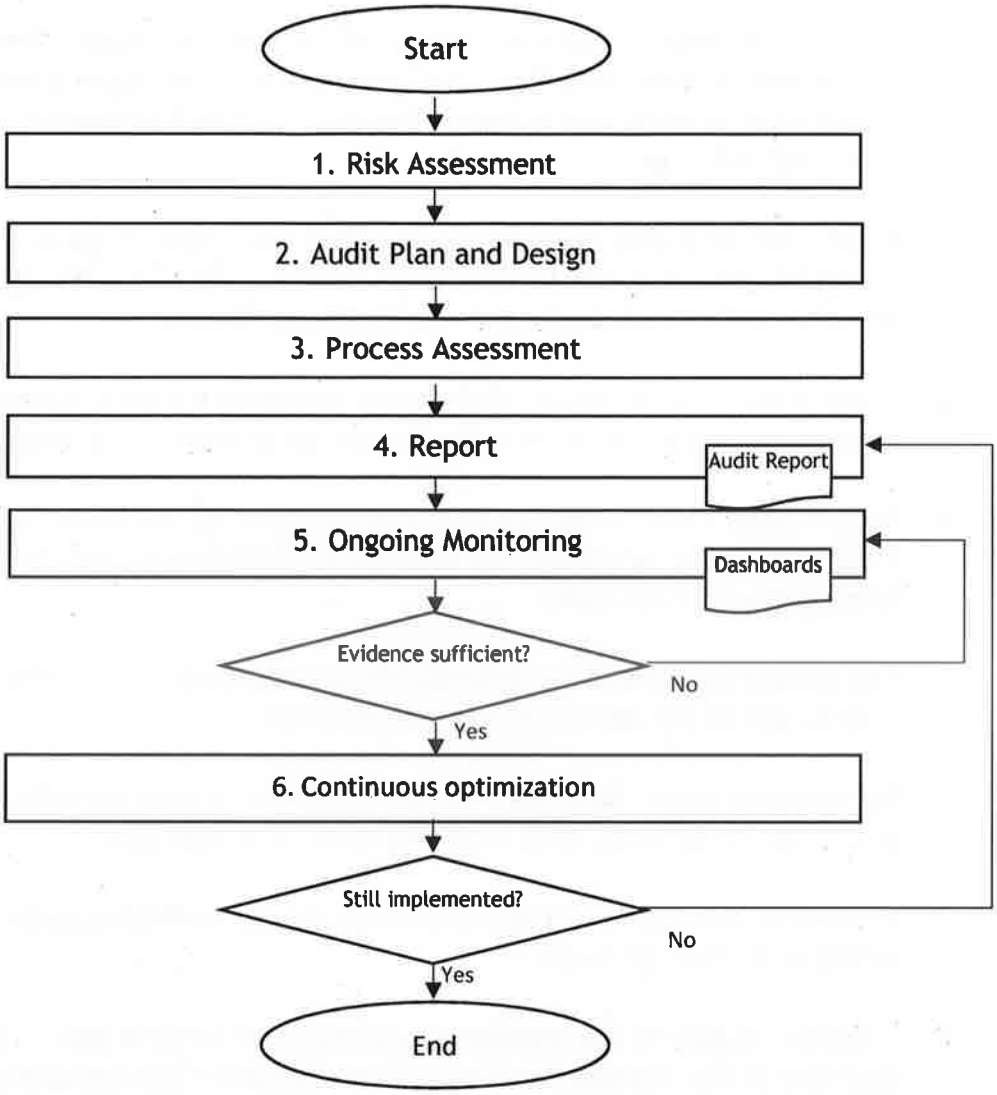
Responsible: Person assigned to enact an action plan.

Risk: Anything that can prevent the achievement of goals and objectives. Risk that have a positive effect on the business are called opportunities and should be managed.

Understood: It is simple and for the target audience is comprehensible.

Useful: Meaning that to a degree the impact of an action plan activation should have noticeable results:

4. Flowchart:


Start
1. Risk Assessment
2. Audit Plan and Design
3. Process Assessment
4. Report
Audit Report
5. Ongoing Monitoring
Dashboards
Evidence sufficient?
No
Yes
6. Continuous optimization
Still implemented?
No
Yes
End

5. Guidelines:

1. A draft of Internal Audit observations will be sent via email to the process owner for comments once identified. The process owner will have 5 business days to provide further evidence to satisfy the gap identified by Internal Audit or a proposed action plan.

2. If, the process owner does not reply within 5 business days with an action plan Internal Audit will conclude the observation is valid and will suggest an action plan that will be included in the Internal Audit Report.

3. Every action plan must be useful, fairly simple to activate, measured, and have a person responsible for its activation within a determined target date.

4. Target dates must be reasonable and proposed by the auditees. Target dates for agreed action plans are not to be over 10 business days for high risk and over 90 days for low risks.

5. The person responsible to execute an action plan should be the process owner or in its defect the person him or her reports to.

6. Action plans target dates can be reschedule by a material business reason, but only once for 30 days, after that they should be executed.

7. In order to considered an action plan concluded sufficient evidence must be provided to Internal Audit.

8. If the action plan is the creation or update of an internal policy, this will need to be reviewed by Internal Audit to ensure the control design is relevant, material,

9. Internal Audit Reports will be submitted to local management and to CUSA Internal Audit Director.

10. All action plans with overdue dates will be followed up once via email, if after 5 business days no response has been received by Internal Audit it will be escalated to the next level in the chain report hierarchy, and so forth.

11. During the first week of each month Internal Audit will send a dashboard to the head of each department with the open requests and observations, and one for the entire company to the Finance Director and CUSA Internal Audit Director.

12. A review of Canon control observation made by Internal Audit will be reviewed in a quarterly Audit Committee by the President, Finance Director, Senior Director and above, and the Internal Audit Advisor.

6. Process Stage Detail:

Stage	Responsible	Control
1. Risk Assessment Internal Audit will perform a top to bottom assessment of processes based on the greatest impact and probability. Additionally, all concerns expressed by Management will also be considered as a priority to assess.	Internal Audit Advisor	
2. Audit Plan and Design Schedule and conduct Interviews with process owners, send internal control questionnaires, document process workflows, review policies procedures, laws and regulations. Prepare an audit plan and review with Finance Director and CUSA Internal Audit Director.	Internal Audit Advisor.	Obtain evidence of review and approval for audit plan.
3. Process Assessment Perform audit tests, assess key processes, identify risk and GAPs, and perform advisory services. Hold an exit meeting to review audit observations and send afterwards minute.	Internal Audit Advisor	Send minute to all invitees via email.

Send to Internal Audit evidence of compliance or provide suggested action plan within established time.	Process owner or head of department.	
4. Report Prepare audit report with relevant information, action plans, responsible, and target dates. Send report to key stakeholders identified via email.	Internal Audit Advisor	
5. Ongoing Monitoring On monthly basis review the evidence sent by the process owners or head of department to close actions plans or provide feedback if it's not sufficient. Provide sufficient evidence of implementation of the mitigation plans agreed on. Deliver on monthly basis the monitoring report to identified stakeholders.	Internal Audit Advisor Process owner or head of department Internal Audit Advisor	Document monitoring and provide follow-up reports.
6. Continuous Improvement Review audits previously performed or closed action plans based on a heat map analysis and perform a follow-up audit to ensure controls remained implemented after monitoring process. If no observations are reopened confirmed via email that the follow-up audit was satisfactory. Otherwise, return to stage 4.	Internal Audit Advisor	